



Red Flags in Financial Statements: Lessons from Enron

An auditing case study

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What happened

- Enron was one of the largest energy companies in the U.S. before collapsing into bankruptcy in late 2001.
- It used off-balance-sheet entities to hide debt and make earnings look stronger than they were.
- Its auditor, Arthur Andersen, was convicted of obstruction of justice in 2002 (later overturned) and effectively went out of business.

Red flags auditors should have caught

- Reported earnings growing much faster than operating cash flow.
- Complex related-party transactions run by company executives.
- Revenue recognized up front on long-term contracts based on optimistic estimates.
- Financial statements that analysts and investors said they could not understand.

Auditor independence problems

- Andersen earned large consulting fees from Enron on top of audit fees.
- Former Andersen staff held key finance roles at Enron.
- When an auditor depends on a client financially, professional skepticism suffers.

Takeaway: independence is not a formality. It is what makes the audit worth trusting.

What changed afterward

- The Sarbanes-Oxley Act of 2002 created the PCAOB to oversee auditors of public companies.
- Section 404 requires management to assess internal controls, with auditor attestation for larger companies.
- Auditors are restricted from providing many non-audit services to the public companies they audit.

Lessons for a future auditor

- Compare earnings to cash flow; large, persistent gaps deserve questions.
- Treat related-party transactions as high-risk by default.
- If a transaction cannot be explained simply, keep asking until it can.